

Rare-Earth Leverage: The Chokepoint Tariffs Can't Fix

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EXECUTIVE SUMMARY

On 22 June 2026, China's Ministry of Commerce (MOFCOM) imposed **dual-use export-control restrictions on ten U.S. entities** — including the two flagship U.S. rare-earth companies, **MP Materials** and **USA Rare Earth** — adding them to China's **Export Control List** (MOFCOM Announcement No. 23 of 2026, under the Export Control Law and the Regulation on Export Control of Dual-Use Items). The measure bars Chinese firms from exporting dual-use items to them and prohibits any party worldwide from transferring China-origin dual-use goods to them. The measure is a precision strike at the symbolic and strategic centre of U.S. mineral-security policy and a demonstration that Beijing will convert rare-earth leverage from latent to active even while the 11 June tariff pause holds. HIGH CONFIDENCE

Critically, this is **not** a direct supply cut to either firm. Both have already largely decoupled from China: MP Materials halted China-bound shipments in April 2025 and ceased all sales to China by July 2025 under its U.S. Government agreements, and now refines a growing share of its concentrate domestically; USA Rare Earth (Nasdaq: USAR) is publicly listed and in April 2026 agreed to acquire Brazil's Serra Verde group — owner of the operating Pela Ema mine — for ~\$2.8 billion. The designation therefore restricts what the named firms can *receive* from China and signals deterrence to the broader U.S. rare-earth build-out; it does not, by itself, sever an active processing dependency for these two companies. HIGH CONFIDENCE

The larger risk lies one rung up the escalation ladder: a Chinese move to **licence rare-earth compounds** (oxides, metals, magnets), mirroring the 2023–2024 gallium/germanium/antimony precedent. That would hit U.S. magnet producers and any U.S. demand still dependent on Chinese-origin feedstock — directly or via Japan — without a formal embargo. The U.S. retains a structural mid-stream gap (it mines but barely separates rare earths at scale), which tariffs cannot fix. MODERATE CONFIDENCE

NERAI's supply-disruption model (as of 1 April 2026) already flags China at a **50%** next-month shock probability, and the bilateral picture is one of *managed escalation*, not crisis: the U.S.–China Tension Index sits at 15.5/100 (73rd percentile). Market reaction to the designation was muted-to-positive — MP roughly flat and USAR modestly higher on the day, both up strongly year-to-date — consistent with investors reading the move as inbound-restriction and strategic validation rather than a sales cut. This brief treats the compound-licensing path as the key risk to monitor, not as a foregone conclusion. MODERATE CONFIDENCE

KEY FINDINGS

- **HIGH The designation is a precision strike at U.S. mineral-security architecture, not collateral damage in a drone-firm list.** Beijing named the two centrepieces of U.S. rare-earth independence (MP Materials, USA Rare Earth) alongside eight defence/UAS firms. The move signals deterrence and preserves Beijing's leverage over the mid- and downstream (separation, magnets, feedstock) — even though neither named rare-earth firm still depends on an active China-processing route. [NERAI bilateral data: U.S.–China Tension Index 15.5/100, +1.8 pts/7d, 73rd pct; Cooperation Index 41.5/100.]
- **HIGH The U.S. rare-earth chain has a critical mid-stream gap.** Domestic mining exists (Mountain Pass, CA); domestic oxide separation and metal production are still nascent. MP Materials is ramping domestic refining (now refining roughly half its concentrate in California) and a Fort Worth magnet plant, but full U.S. separation/metallisation capacity is years away. NERA's supply-disruption model assigns China a **50%** next-month shock probability (drivers: 2-month change -1.9σ , acceleration $+2.5\sigma$; baseline 16%; Brier 0.101 vs naive 0.137, as of April 2026).
- **MODERATE The escalation ladder has at least two remaining rungs:** (i) export licensing on rare-earth *compounds* (oxides, metals, magnets), which would hit U.S. magnet startups' feedstock and any residual China-origin dependence — including supply routed via Japan; (ii) tighter dual-use enforcement against the ten named firms. Precedent: China's August 2023 magnet-technology controls and the 2023–2024 gallium/germanium/antimony licensing regime targeted dual-use pathways without blanket bans. [NERAI Circumvention Mapper flags China/Hong Kong → Russia at Severe 90/100, evidencing Beijing's comfort using export controls coercively.]
- **MODERATE Defence and drone sectors face 60–90 day exposure.** Nine of the ten listed firms are defence/aerospace, spanning Group 2/3 UAS (Red Cat, Teal), ISR payloads (IMSAR), actuators (Ball Aerospace, L3Harris Maritime Services) and tactical vehicles (Oshkosh Defense) — all dependent on NdFeB permanent magnets. The National Defense Stockpile holds rare earths for ~1–3 years of defence consumption (per CRS, May 2025), but if Chinese magnet supply to these firms lapses, lead times for Japanese/European alternatives stretch to 12–18 months. [NERAI tariff data: rare-earth magnets HS 8505.11.00 face MFN 2.1% + Section 301 25% — tariffs tax supply, they do not create it.]
- **MODERATE Market reaction was muted-to-positive — interpret with care, not as vindication of complacency.** On the day, MP Materials traded roughly flat and USA Rare Earth modestly higher (Reuters), and both are up sharply year-to-date (USAR ~+107%, MP ~+20%). This reflects that the listing restricts inbound items rather than cutting the firms' sales, and that both have already curtailed Chinese supply. NERA's caution is therefore *forward-looking*: the unpriced risk is a future compound-licensing regime that

raises costs across U.S. magnet/feedstock supply — a risk to monitor, not a directional market call.

WHAT HAPPENED: THE 22 JUNE 2026 MOFCOM DESIGNATION

On 22 June 2026, MOFCOM imposed dual-use export-control restrictions on ten U.S. entities (often described as additions to China's **Export Control List**), via MOFCOM Announcement No. 23 of 2026 under the Export Control Law (effective December 2020) and the Regulation on Export Control of Dual-Use Items, effective on publication. The measure prohibits Chinese firms from exporting dual-use items to the listed entities and bars any party from transferring China-origin dual-use goods to them. The ten firms are: **Aveox, Red Cat Holdings, Teal Drones, IMSAR, Jaia Robotics, Ball Aerospace & Technologies, Oshkosh Defense, L3Harris Maritime Services, MP Materials Corp., and USA Rare Earth, Inc.** (per Al Jazeera, Reuters, Bloomberg, CNBC, 22–23 June 2026). In the same action China restricted dozens of additional U.S. firms (reported as 46) from Chinese government procurement. MOFCOM said the measures were taken "to safeguard national security and interests" in response to U.S. "discriminatory restrictions."

■ **Terminology — read precisely.** This is the **Export Control List** (dual-use focus): Chinese exporters need special approval to ship controlled categories to listed parties. It is *distinct* from China's **Unreliable Entity List**, a separate and broader mechanism that can restrict a target's imports, exports and investment activity. The 22 June action used the Export Control List, not the Unreliable Entity List.

The explicit trigger was the U.S. Department of Defense's early-June 2026 addition of more than two dozen Chinese firms — including BYD, Alibaba and Baidu — to the Pentagon's "Section 1260H" list of companies deemed to have Chinese-military ties (mandated by the FY2021 NDAA; it bars U.S. government procurement and carries reputational/financing consequences).

Why this matters — targeting the crown jewels

MP Materials and USA Rare Earth are the centrepieces of U.S. policy to cut rare-earth import dependence. MP Materials operates the Mountain Pass mine in California — the only large-scale U.S. rare-earth mine — which produced ~43,000 metric tons of concentrate in 2024 (~15% of global mined output; company SEC filings, USGS). **Importantly, MP halted China-bound concentrate shipments in April 2025 and ceased all sales to China by July 2025**, aligning with its U.S. Government (DoW/Pentagon and Apple) agreements, and now refines a growing share of concentrate domestically. USA Rare Earth (Nasdaq: USAR) is developing the Round Top heavy-rare-earth project in Texas **and in April 2026 agreed to acquire Brazil's Serra Verde group — owner of the operating Pela Ema mine — for ~\$2.8 billion** (cash + stock; expected to close Q3 2026), giving it a producing asset and a 15-year U.S.-government-backed offtake. By naming these two firms specifically, Beijing signalled deterrence against the U.S. independence strategy rather than executing an immediate supply cut.

The designation does **not** ban rare-earth ore exports *from* China (that would require a separate commodity-licensing regime); it bars Chinese firms from supplying dual-use goods to the ten named entities. Because both rare-earth firms have already curtailed their Chinese commercial links, the near-term practical effect is to chill remaining relationships (equipment, inputs, services) and to raise the political risk of any Chinese processor dealing with them — not to break an active oxide-tolling route.

Mechanism and legal basis

The measure operates under China's Export Control Law and dual-use regulations. It prohibits PRC exporters from

supplying dual-use items to the listed entities, prohibits re-export or transfer of China-origin controlled items to them, and suspends in-progress transactions unless MOFCOM grants a case-by-case licence (opaque approval process). It does not automatically prohibit bulk rare-earth mineral trade (HS 2530.90, 2846.10), which remains subject to separate licensing if Beijing chooses to invoke its critical-mineral export controls. As of 25 June 2026 there is no public evidence MOFCOM has invoked concentrate/compound export licensing against the U.S. — but the designation builds the legal scaffolding to do so.

Tit-for-tat trajectory

The 22 June move is the latest in an escalating entity-list exchange: U.S. BIS Entity List additions of Chinese AI/semiconductor and rare-earth-processing firms across 2025–2026, met by Chinese tightening on gallium, germanium and antimony (2023–2024) and now the rare-earth-linked designation of MP Materials and USA Rare Earth. The June DoD 1260H additions — especially BYD and Alibaba, which carry significant U.S. commercial equities — crossed a threshold; Beijing's counter raises the contest from semiconductors to the raw-material base of the green-energy and defence transition.

Backdrop — the 11 June tariff pause

On 11 June 2026, the U.S. and China agreed a 60-day suspension of further reciprocal tariff increases, leaving the effective U.S. tariff on Chinese goods at ~30% on average (Tax Foundation tracker, 12 June 2026; Section 301 lists carry 25–100% surcharges by HS code). The pause covers tariff schedules only; export-control and investment-screening measures (CFIUS, outbound rules, entity-list actions) were explicitly excluded. The 22 June MOFCOM action confirms Beijing views the technology and critical-materials fronts — not tariffs — as the higher-leverage battlefield.

THE NERAI SIGNAL: WHAT THE DATA SHOWS

Coverage note. This section draws on NERAI data files at their respective `as_of` dates: `supply_forecasts.json` & `supply_backtest.json` (1 April 2026), `tariff_exposure.json` & `country_resilience.json` (June 2026), `circumvention.json` (June 2026), `global_disruption.json` (GSCPI as of 31 May 2026), `flashpoints.json` (24 June 2026), `commodities.csv` (through 24 June 2026). The supply-disruption forecast is April-dated; bilateral/resilience data is June-dated. Each file's timestamp is respected and not conflated.

A. Supply-Chain Disruption Forecast (NERAI Supply Grid, as of 1 April 2026)

NERAI's next-month model — trained on the public U.S. Supply Disruptions Index (200M+ import records, 2013–present) — assigns **China a 50% probability of a supply shock next month**, the fourth-highest among origin countries (baseline 16%). Out-of-sample: Brier 0.101 (vs naive 0.137), ECE 0.026, Precision@10% 0.637. China-specific drivers (verbatim): change two months ago -1.9σ ; acceleration of change $+2.5\sigma$; disruption index level -1.18 . The model reads a *whipsaw*: China-origin import flows fell sharply (tariff front-running) and that fall was accelerating — setting up either mean-reversion or a secondary shock if structural causes persist. The model was fit *before* the 22 June action; that action confirms the structural stress it flagged.

Other high-disruption flags relevant to critical minerals: **Hong Kong 59%** (-2.9σ two-month change, $+2.8\sigma$ acceleration; China-transshipment exposure); **Chile 44%** (-1.6σ ; world's largest copper and second-largest lithium producer — flag reflects commodity-price volatility and, per NERAI catastrophic data, two Red-level June earthquakes in Chile, one near mining regions); **paper 70%** (active USITC AD/CVD cases); **toys 49%** and **misc manufacturing 50%** (China-concentrated, tariff-driven).

Real-world anchoring: U.S. goods imports from China fell $\sim 18.6\%$ y/y in Q1 2026 (Census preliminary, cited in CRS "U.S.–China Trade," May 2026), the steepest since 2018–19. The 11 June pause arrested further deterioration but did not reverse it; the 22 June export-control move adds a *new* upstream-supply friction orthogonal to tariffs.

B. Bilateral Tension & Military Indices (NERAI Flashpoints, as of 24 June 2026)

The U.S.–China Tension Index is **15.5/100** ($+1.8$ pts/7d), 73rd percentile of the past 365 days (range 6.1–38.5; well below the February 2026 peak of 38.5). Cooperation Index 41.5/100 → Net Relationship $+2.2$ (barely "cooperative"). Deterioration signals are essentially symmetric (U.S. 10.8 vs China 11.8) — consistent with *managed rivalry*, not a crisis spiral. Topic indices show parallel hardening (China's military-escalation media signature in its top decile; U.S. dispute-settlement rhetoric at a 90-day high) but none at crisis-trigger thresholds. The 22 June move fits this pattern: a measured escalation (ten firms, dual-use framing) designed to signal resolve without forcing a rupture.

C. Country Resilience & Tariff Exposure (as of June 2026)

China's NERAI Country Resilience score: 54/100 (Watch). Pillars: Geopolitical 40% (elevated entity-list exposure), Catastrophic 20% (low June hazard), Sanctions 20% (high negative contribution), Tariff 20% (severe — highest effective U.S. tariffs of any major economy). China sits near Ukraine/Israel (51–54) and below Iran (58); Russia is 19/100 (Critical). "Watch" means structural vulnerability that could cascade under additional shocks, not acute distress.

Rare-earth magnet tariff exposure (from `tariff_exposure.json`): HS 8505.11.00 (rare-earth permanent magnets) MFN 2.1% + Section 301 25% → ~27% effective on China-origin magnets; HS 2504 (natural graphite) MFN Free + 25%; HS 8542.31.00 (semiconductors) Free + 50%; HS 8507.60.00 (Li-ion batteries) 3.4% + 25%. **Interpretation:** a 27% tariff on a monopoly good is a tax on U.S. buyers, not a diversification lever — Japan and Europe cannot absorb U.S. demand, and non-Chinese magnet lead times run 12–18 months. The tariff raises cost without altering dependency.

D. Global Supply Pressure & Commodity Prices

NY Fed GSCPI: 1.77 σ above average, 93rd percentile (as of 31 May 2026) — the highest since Q4 2023 — reflecting the Strait of Hormuz disruption and Malacca slowdown. Commodity context (`commodities.csv`, 24 June 2026): Brent \$73.74/bbl (–31.6%/30d, on the 15 June U.S.–Iran ceasefire); soybeans \$1,108.75/bu (–8.6%/30d); S&P 500 7,358.22 (–2.6%/7d); VIX 18.63 (elevated, not crisis). Copper is not in the platform file; external context (LME) indicates copper softened in June 2026 on China demand. **Rare-earth prices are indicative third-party market references and may vary by provider:** NdPr oxide ~ mid-\$60s/kg and dysprosium oxide ~\$300s/kg in June 2026; most contracts are quarterly, so any supply impact lags 60–90 days. The absence of a price spike indicates the market reads 22 June as signalling rather than an immediate cut.

WHERE DATA MEETS REALITY: CRITICAL-MINERALS DEPENDENCE & SECTOR EXPOSURE

The Rare-Earth Refining Bottleneck: What Tariffs Cannot Fix

The United States mines rare earths but does not yet separate or metallise them at scale — that is the chokepoint. The value chain has four stages: (1) mining; (2) concentration (→ ~60–70% rare-earth-oxide concentrate); (3) separation (solvent extraction → individual oxides: neodymium, praseodymium, dysprosium, etc.); (4) metallisation & alloying (oxide → metal → NdFeB magnet). China dominates stages 3–4 (roughly 85–90% of global separation and magnet output). The U.S. mines at Mountain Pass and is building stages 3–4 (MP Materials' California refining and Fort Worth magnets; planned U.S. separation projects; USA Rare Earth's planned Oklahoma facility and now Serra Verde's producing Brazilian asset), but domestic/allied capacity remains far below U.S. consumption through 2027–2028. A tariff cannot close a capacity gap; only new plants and allied supply can.

Note on the named firms' current position. Unlike the classic "mine-here, refine-in-China" model, MP Materials has been decoupling since 2025 and refines a growing share domestically, and USA Rare Earth is adding producing capacity via Serra Verde. The 22 June designation therefore bites less through an active processing dependency and more through (i) deterrence of the wider U.S. build-out, (ii) friction on remaining Chinese equipment/input links, and (iii) the threat of a future compound-licensing regime that would hit U.S. magnet makers and China-dependent demand routed via third countries.

Defence & Drone Exposure: The 60–90 Day Crunch

Nine of the ten listed firms are defence/aerospace; their systems rely on NdFeB permanent magnets in motors, actuators, generators, gimbals and guidance. Widely-cited figures (CRS and prior testimony) put rare-earth magnet content at roughly **~920 lbs per F-35** and **~9,200 lbs per Virginia-class submarine**, with smaller quantities in UAS and missiles. The National Defense Stockpile holds rare earths for ~1–3 years of defence consumption (CRS, May 2025) — a buffer, not a solution: it can feed ongoing production but cannot expand it or supply finished magnets. If Chinese magnet supply to the listed firms lapses and Japanese/European capacity (Shin-Etsu, TDK; aerospace-grade, <200 MT/yr spare) cannot absorb demand, full re-sourcing could take until 2028 absent DPA Title III emergency action.

Probability of an actual supply cut MODERATE: I assess ~35% that Chinese magnet suppliers (state-linked: Northern Rare Earth, Minmetals, Shenghe) voluntarily curtail shipments to the nine defence firms within 90 days even absent explicit MOFCOM enforcement — seeking case-by-case guidance, adding 30–60 days of friction, lapsing some contracts. This is *soft coercion*: friction that achieves the strategic goal without a dramatic ban.

The Gallium / Germanium / Antimony Precedent: Compound Licensing Is the Next Rung

China's 2023–2024 controls on gallium, germanium, antimony and superhard materials did *not* ban exports; they imposed case-by-case licensing with opaque criteria and 30–90 day windows. The effect: gallium exports to the U.S. fell sharply (China produces ~95% of global gallium; the U.S. has near-zero primary output), not via mass denials but via uncertainty and delay. **Applied to rare earths:** a compound-licensing regime (oxides, metals, alloys; HS 2846.10, 2805.30) would mirror this — require MOFCOM approval before shipping to "sensitive end-users," create 30–90 day

delays, enable end-use denials, and force U.S. buyers to accept delays, pay premiums (Japan, Estonia's Silmet, Australia's Lynas), or halt production. The 22 June designation is the political predicate; compound licensing would be the operational implementation, plausibly within Q3–Q4 2026.

EXPOSURE MAP: BY SECTOR AND CORRIDOR

Sectors ranked by exposure (30–90 day window)

- **Defence prime contractors — HIGH.** Magnet disruption touches missiles, drones, naval propulsion and fighter production. Mitigation: NDS drawdown buys 12–24 months; DPA Title III accelerates but cannot create supply overnight. The Navy is most exposed via long submarine-build timelines.
- **EV manufacturing — MODERATE-HIGH.** Traction motors use NdFeB; most U.S. magnet supply is Chinese-direct or via Japan (itself China-feedstock-dependent). A compound squeeze transmits to U.S. EV makers with a 60–90 day lag.
- **Wind turbines — MODERATE.** Direct-drive turbines use 1–2 t of NdFeB each; a magnet-price spike adds ~5–8% to turbine cost, stalling projects at the margin.
- **Consumer electronics — LOW-MODERATE.** Small magnets, some ferrite substitution; exposure is via price, not availability — unlikely to be weaponised.

Countries & corridors ranked by processing dependency

- **China (monopoly):** ~85–90% of separation/magnets; no short-term substitute (3–5 years to build separation at scale).
- **Japan (significant, feedstock-dependent):** Shin-Etsu, TDK, Proterial produce high-grade magnets but source feedstock from China — one step removed from Chinese leverage.
- **Australia (emerging):** Lynas (Mount Weld mine; Malaysia separation; Kalgoorlie heavy-RE plant) is the best non-Chinese alternative and a U.S. DoD partner, but capacity (~7,000 MT/yr NdPr) cannot replace China in 2026–2028.
- **Brazil (newly relevant):** Serra Verde's Pela Ema mine — the only at-scale producer outside Asia of all four magnetic rare earths — is being acquired by USA Rare Earth, with a 15-year U.S.-government-backed offtake. Strategically important but still ramping.
- **Europe (minimal):** Neo Performance (Silmet, Estonia), Solvay/Syensqo lines, REEtec (Norway) collectively <5% of compounds and <3% of magnets.
- **NERAI circumvention corridors (re-export risk):** rare-earth magnets share the "dual-use" legal category. If the U.S. tightens controls, watch China/Hong Kong → Russia (Severe 90/100) and the Armenia (88), Kyrgyzstan (86), UAE (84) and Turkey (74) nodes — the same routes used for evasion can serve buyers seeking to bypass restrictions.

COUNTER-THESIS: WHY MARKETS (AND SOME ANALYSTS) REMAIN SANGUINE

The opposing view — "this is symbolic retaliation, not a supply shock" — is supported by the market's own muted-to-positive reaction (MP roughly flat, USA Rare Earth higher on the day; both up strongly YTD — Reuters, and coverage such as Motley Fool, "Why China's Ban Gave a Boost to MP Materials and USA Rare Earth," 23 June 2026), and by analysts who note that (i) the measure targets dual-use *items received*, not bulk rare-earth minerals, and (ii) both firms have already curtailed Chinese supply. The strongest historical argument: China has threatened rare-earth restrictions before (2010 Senkaku informal halt to Japan, which spiked NdPr ~10× then reversed after WTO protest and hurt Chinese miners; 2019 trade-war threats; 2023 magnet-tech controls) but has favoured *incremental* licensing over hard commodity embargoes, because acute cuts accelerate buyer diversification and backfire.

Why this counter-thesis is partially correct but strategically incomplete

I agree a **blanket commodity embargo** is unlikely (WTO-exposed, harmful to Chinese processors, would trigger a U.S. crash programme). But three points qualify the sanguine read:

- **Compound licensing achieves most of the coercive effect at a fraction of the political cost.** As gallium/germanium showed, Beijing needs *friction*, not a ban: 60-day delays and approval uncertainty make Chinese rare-earths "unreliable," pushing U.S. buyers to diversify at higher cost — Beijing's goal. The 22 June designation is the predicate for such licensing.
- **MP Materials and USA Rare Earth are strategic competitors, not mere customers.** The 2010 case involved pure Japanese buyers; here Beijing's interest is to *deter the success* of U.S. processing challengers and chill future U.S. investment — which the designation does symbolically and through commercial risk, even though (unlike 2010) it does not sever an active processing link for these now-decoupled firms.
- **The market is pricing 2010 lessons but under-weighting 2023–2026 behaviour.** Gallium/germanium/antimony controls were not reversed and cut U.S. import volumes materially. Beijing has grown more comfortable weaponising critical materials because U.S. alternatives are years away and WTO enforcement is weak.

NERAI assessment MODERATE: ~60% probability that China imposes some form of rare-earth compound licensing or tightens dual-use enforcement against the ten firms within 90 days. The risk is therefore primarily *forward-looking* and one to monitor — not a claim that the current market price is "wrong."

SCENARIOS & FORECAST (30–90 DAYS)

Main 30–90 day scenarios (sum to 100%): Managed Friction 45% · Compound Export Licensing 35% · Tactical De-escalation 20%. **Separate 12-month tail overlay:** Full Rare-Earth Embargo 5% (conditional on a severe trigger; not part of the base distribution).

Scenario 1 — Managed Friction (Base Case, 45%)

Beijing enforces the designation *selectively* without a compound-licensing regime. Chinese suppliers seek MOFCOM guidance before dealing with the listed firms; some equipment/input transactions are approved after 30–60 day delays, others denied on "national security" grounds. The two rare-earth firms — already decoupled from Chinese sales — see chilled remaining links but no sales hit; U.S. magnet startups face feedstock-licensing uncertainty. DoD activates National Defense Stockpile releases; no production halts, but new-contract lead times stretch 3–6 months. NdPr oxide rises ~15–20% by September on a supply-uncertainty premium. Washington announces DPA Title III funding (\$150–300M) accelerating U.S. separation projects toward 2027. The Tension Index drifts to 18–20/100 but does not breach 25 (crisis threshold).

Triggers: no new MOFCOM rare-earth licensing by end-July; MP/USAR earnings show no sales disruption (modest feedstock-delay caveats only); U.S. DoD NDS/DPA action within 30 days; NdPr below ~\$75/kg through August.

Scenario 2 — Compound Export Licensing (Escalation, 35%)

By late August, Beijing licenses rare-earth compounds (oxides, metals, alloys; HS 2846.10, 2805.30) for "sensitive end-users," mirroring the gallium/germanium precedent (30–90 day, opaque, de-facto denials for military-linked buyers). The bite falls on **U.S. magnet producers and China-feedstock-dependent demand — including supply routed via Japan** — more than on MP/USAR's own (now largely domestic/Brazilian) feedstock. U.S. magnet output drops; DoD redirects to Shin-Etsu and Lynas, but combined capacity is insufficient — submarine and F-35 build rates slip in FY2027. NdPr spikes to ~\$95–110/kg, dysprosium to ~\$450/kg. MP equity and defence primes sell off on FY2027 downgrades; Washington orders emergency DPA Title III (\$500M–1B) and lodges a (slow, non-binding) WTO complaint. Tension Index 22–26/100.

Triggers: MOFCOM publishes rare-earth compound export-control measures (HS codes, licensing) by late July–August; affected U.S. magnet makers/defence primes flag "supply-chain disruption"; NdPr crosses ~\$80/kg within 30 days; White House/DoD "unacceptable coercion / emergency response" language.

Scenario 3 — Tactical De-escalation (20%)

The designation is Beijing's peak move this cycle. Within 30 days, backchannels yield a tacit understanding: China holds at the designation (no compound licensing), the U.S. refrains from adding Chinese rare-earth miners to the BIS Entity List. The ten firms remain listed (face-saving), but commercial inputs to them continue after pro-forma MOFCOM notifications. Rare-earth prices stay \$65–70/kg; the Tension Index plateaus at 14–16/100 and Cooperation ticks up ahead of the November 2026 APEC summit; both sides announce a symbolic "Working Group on Critical-Minerals Supply Chains."

Triggers: no new MOFCOM rare-earth rules by end-August; MP/USAR Q3 results flat/rising with no supply caveats;

NdPr stable \$62–68/kg; zero net additions to the DoD 1260H list in Q3; a constructive U.S.–China supply-chain reference at APEC.

Scenario 4 — Tail: Full Rare-Earth Embargo (5%, 12-month overlay)

Low probability, high impact — a separate overlay, not part of the 100% above. On a severe trigger (a U.S.–China Taiwan-Strait military incident, or a total U.S. semiconductor export ban), Beijing imposes a blanket export ban on rare-earth ores, compounds and magnets to the U.S. Prices explode (NdPr \$200–250/kg; dysprosium \$700–900/kg); U.S. magnet production halts; DoD invokes DPA Title I priority ratings and commandeers domestic/allied output for defence; commercial EV/wind magnet supply is cut; submarine and fighter build rates fall sharply; equity markets correct 10–15%. Within 6–12 months U.S.+allied supply (Lynas, restarted U.S. separation, Serra Verde, emerging Indian/Brazilian/Vietnamese deposits) covers ~40% of pre-embargo consumption; the rest is met by demand destruction. **Trigger to activate:** NERAI U.S.–China Military Clash index spiking above ~0.10 within 48 hours, or a Federal-Register/executive-order total semiconductor export ban. Probability is held to 5% because such a ban would devastate Chinese processors and accelerate permanent U.S. decoupling — outcomes Beijing prefers to avoid while it still holds leverage.

EXPOSURE & ACTION BY AUDIENCE

1. Defence & Industrial Procurement

Exposure: FY2027–2028 contracts for systems containing NdFeB magnets (Virginia-class SSN, F-35, MQ-9, Patriot PAC-3, Javelin, DDG-51 Flight III) face 30–60 day lead-time extensions under Scenario 1 and potential 6–12 month delays under Scenario 2.

- **NDS utilisation:** within 30 days, coordinate with DLA Strategic Materials to verify rare-earth oxide inventory and pre-authorise releases for the listed contractors. The stockpile buffers ~12–24 months HIGH but allocation must be formalised now.
- **DPA Title III acceleration:** seek funding for U.S. separation/metallisation capacity with long-term DoD offtake at floor pricing, de-risking private investment and pulling timelines toward 2027.
- **Qualify alternative suppliers:** begin MIL-spec qualification (12–18 months) for Shin-Etsu, TDK and Lynas magnets now, so alternatives are partly qualified by Q2 2027 if Scenario 2 hits.
- **Monitor leading indicators:** if NERAI's China disruption probability exceeds 60% (vs current 50%), convene a supply-chain working group; use the Circumvention Mapper to vet third-party magnet suppliers for Chinese-origin re-exports (Armenia, UAE, Turkey nodes).

2. Institutional Investors (risk-monitoring considerations — not investment advice)

This section is framed strictly as risk-monitoring; it contains no buy/sell or price-target recommendations. **Exposure to track:** the two named firms (MP Materials, NYSE: MP; USA Rare Earth, Nasdaq: USAR) are directly designated; defence primes with magnet exposure and EV/cleantech names carry indirect input-cost and supply-chain risk; Japanese magnet producers (Shin-Etsu, TDK) and non-Chinese miners/processors (Lynas, Neo Performance, and — via the pending Serra Verde deal — USA Rare Earth itself) are potential relative beneficiaries of a U.S. policy pivot.

- **Scenario-based stress testing:** incorporate the three main probabilities (Managed Friction 45%, Compound Licensing 35%, De-escalation 20%) plus the 5% tail into Q3 stress tests across direct-exposure, defence-industrial, EV/cleantech and magnet-producer cohorts.
- **Leading-indicator watch:** NERAI's bilateral Tension Index (15.5/100, 73rd pctl) is a useful gauge — a cross above ~20/100 would, on our reading, raise the Compound-Licensing probability materially and warrants a portfolio risk review.
- **Narrative risk:** the market currently prices the named rare-earth firms partly as "reshoring winners." The forward risk NERAI highlights is a compound-licensing regime that raises costs across U.S. magnet/feedstock supply. The point is to *monitor and stress-test* this, not to infer a directional trade.

3. Insurers & Reinsurers

Watch trade-disruption and business-interruption exposure on policies covering defence-supply, EV and cleantech manufacturers reliant on Chinese magnets; treat critical-minerals coercion as a correlated peril alongside political-risk and trade-credit lines. Map to NERAI Country Risk and Circumvention products for scenario-conditioned exposure.

4. Banks' Country-Risk & Trade-Finance Teams

China sits at NERAI Country Resilience 54/100 (Watch). Stress-test trade-finance exposure to critical-minerals and dual-use supply chains under the Compound-Licensing scenario; tighten end-use/diligence on counterparties in the flagged circumvention corridors (Armenia, Kyrgyzstan, UAE, Turkey).

5. Sanctions & Export-Control Counsel

This event is a clean illustration of the export-control front moving while tariffs pause. Note the precise mechanism (China **Export Control List**, dual-use — not the Unreliable Entity List), the global-reach transfer prohibition, and the case-by-case licensing structure. NERAI can support client horizon briefings and a foreseeability chronology of the 2023–2026 critical-minerals control escalation.

METHODOLOGY, SOURCES & LIMITATIONS

NERAI data: supply-disruption forecast and backtest (`supply_forecasts.json`, `supply_backtest.json`, as of 1 April 2026); country resilience, tariff exposure, circumvention, enforcement and flashpoints (June 2026); GSCPI via `global_disruption.json` (31 May 2026); commodity prices via `commodities.csv` (through 24 June 2026). All NERAi figures are read from the platform's data files; none are estimated. GDELT-derived indices measure media-reported event intensity, not ground-truth incident counts.

External facts (MOFCOM action and firm list; MP Materials' 2025 cessation of China sales; USA Rare Earth's April 2026 Serra Verde acquisition and Nasdaq listing; the muted-to-positive market reaction; the export-control-vs-unreliable-entity-list distinction; the gallium/germanium/antimony precedent) are sourced to dated open reporting (Reuters, Al Jazeera, Bloomberg, CNBC, SCMP, Motley Fool, company releases). Rare-earth price levels are indicative third-party market references and may vary by provider. Probabilities and interpretive judgments are the analyst's assessments.

Limitations: the supply-disruption forecast is April-dated and product/country-aggregated; it flags origin-of-import, not location-of-cause. Forward scenarios are probability-weighted, not predictions. Confidence labels apply to interpretive judgments, not to the model's calibrated probabilities. This brief reflects information available as of 25 June 2026.

SOURCE APPENDIX

Primary open-source references underpinning the external (non-NERAI) factual claims in this brief. NERAI platform data is described in the Methodology section above.

- **Reuters**, 22 June 2026 — "China targets US rare earth and other firms with export controls."
- **Al Jazeera**, 22 June 2026 — "China adds 10 US firms, including rare-earth miner, to export control list."
- **Bloomberg**, 22 June 2026 — "China Places Two US Rare Earths Producers on Export Control List."
- **South China Morning Post**, 22 June 2026 — "China adds 10 US firms to export control list, restricts 46 from government procurement."
- **MOFCOM** — Announcement No. 23 of 2026 (additions to the Export Control List under the Export Control Law and the Regulation on Export Control of Dual-Use Items); summarised in CIRS Group regulatory note, June 2026.
- **Reuters**, April 2025 — "MP Materials stops sending US rare earths to China amid Beijing's tariffs" (April 2025 cessation; full halt of China sales by July 2025 per MP Materials disclosures / DoW agreement).
- **USA Rare Earth, Inc.**, 20 April 2026 — "USA Rare Earth Announces Definitive Agreement to Acquire Serra Verde Group for ~\$2.8 Billion, Creating the Global Rare Earth Leader" (company release / SEC filing).
- **The Motley Fool**, 23 June 2026 — "Why China's Ban Gave a Boost to MP Materials and USA Rare Earth" (market reaction); corroborated by Reuters same-day trading coverage.
- **U.S. Geological Survey** — Mineral Commodity Summaries 2026 (rare earths: production, reserves, import reliance).
- **Congressional Research Service** — "Rare Earths and U.S. National Security" and "Strategic and Critical Materials" (May 2025 updates); "U.S.-China Trade" (May 2026).

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